

Sector capitalization weighting in S&P 500, July 2020

Department Stores	0.01%	Luxury Goods	0.06%
Insurance – Specialty	0.02%	Personal Services	0.07%
REIT – Hotel & Motel	0.03%	Health Information Services	0.07%
Beverages – Brewers	0.03%	Trucking	0.07%
Utilities – Independent Power Producers	0.03%	Utilities – Regulated Water	0.09%
Insurance – Reinsurance	0.03%	Food Distribution	0.09%
Security & Protection Services	0.03%	Grocery Stores	0.09%
Business Equipment & Supplies	0.03%	Building Materials	0.10%
Leisure	0.03%	Tools & Accessories	0.11%
Rental & Leasing Services	0.04%	Furnishings, Fixtures & Appliances	0.11%
Steel	0.04%	Utilities – Regulated Gas	0.11%
Real Estate Services	0.05%	Pharmaceutical Retailers	0.12%
Auto & Truck Dealerships	0.05%	Auto Parts	0.12%
Advertising Agencies	0.06%	Building Products & Equipment	0.13%
Copper	0.06%	Engineering & Construction	0.15%

If in mid-2020, the 30 most economically damaged industry categories were delisted, it would have shaved off just a few percentage points from the S&P 500. Markets, it turns out, are not especially vulnerable to highly visible but relatively tiny industries.

The most battered industries didn't matter much because of the way stock indexes are structured. Market capitalization is the reason why.

The US economy is not the stock market and vice versa.

The sectors that do matter? Consider just four industry groups: Internet content, software infrastructure, consumer electronics, and internet retailers. Those accounted for more than \$8 trillion in market value, or almost a quarter of total US stock market value of about \$35 trillion in mid-2020. Take the 10 biggest technology companies in the S&P 500 and weight them equally, and they would have been up more than 37% for the year. Do the